

Math Bootcamp: Content to be Covered

For Incoming MSc Economics Students

Math Camp 2026

Overview

- **Objective:** Bridge the gap between a weaker undergraduate math background and MSc-level economics courses.
- **Duration:** 3 hours per day for 5 days.
- **Method:** Focus on intuition, fundamentals, and confidence-building. Rigorous proofs and advanced techniques are deferred to fall courses; only simple proofs are included where necessary.
- **Emphasis:** Conceptual topics to be covered throughout graduate microeconomics, macroeconomics, econometrics, and mathematical economics.

Contents

1	Day 1 — Foundations (Sections 1.1–1.9)	3
1.1	1.1 — Notation and Number Systems	3
1.2	1.2 — Logic and Mathematical Statements	3
1.3	1.3 — Sets and Set Operations	3
1.4	1.4 — Functions	3
1.5	1.5 — Supremum and Infimum	3
1.6	1.6 — Algebra Revision	4
1.7	1.7 — Single-Variable Derivatives	4
1.8	1.8 — Multivariate Calculus	4
1.9	1.9 — Limits	4
1.10	Appendix (Slides)	5
2	Day 2 — More Calculus and Real Analysis Bridge	5
2.1	2.1 — Implicit Function Theorem	5
2.2	2.2 — EVT, MVT, and Existence	5
2.3	2.3 — Integration	6
2.4	2.4 — Leibniz Rule and Fubini	6
2.5	2.5 — Taylor Expansion and Linearization	6
2.6	2.6 — Uniform Convergence	6
2.7	Appendix (Day 2 Slides)	7
3	Day 3 — Linear Algebra and Real Analysis	7
3.1	Linear Algebra — must cover (Block 1)	7
3.2	Convergence — if time allows (Day 3)	7
3.3	Real Analysis — if time allows (Day 3)	7

4	Day 4 — Optimization	8
4.1	4.1 — Unconstrained Optimization (1D, then multivariable)	8
4.2	4.2 — Concavity, Quasiconcavity, and Global Optima	8
4.3	4.3 — Equality Constraints and Lagrange Multipliers	8
4.4	4.4 — Envelope Theorem	9
4.5	4.5 — Inequalities, Geometric Farkas, and KKT	9
4.6	KKT sign mnemonic (reference)	9
4.7	Appendix (Day 4 Slides)	10
5	Day 5 — Dynamic Programming	10
5.1	Motivation and Framework	10
5.2	State Variables versus Control Variables	10
5.3	Bellman Equation	11
5.4	Backward Induction	11
5.5	Value Function Iteration (Conceptual)	11
5.6	Two-Period Models as Building Blocks	11
6	Cross-Cutting Themes (All Days)	11
7	Suggested Time Allocation	12

1 Day 1 — Foundations (Sections 1.1–1.9)

Approximate duration: 3 hours. See Day 1 slides (Sections 1.1–1.9).

1.1 1.1 — Notation and Number Systems

- Number systems: $\mathbb{N}$ (counting), $\mathbb{Z}$, $\mathbb{Q}$, $\mathbb{R}$, $\mathbb{R}^n$; nesting $\mathbb{N} \subset \mathbb{Z} \subset \mathbb{Q} \subset \mathbb{R}$.
- Symbols: $\in$, $\subset$, $\forall$, $\exists$, $\Rightarrow$, $\Leftrightarrow$.
- Scalars versus vectors: $\mathbf{x} = (x_1, \dots, x_n) \in \mathbb{R}^n$; dot product $\mathbf{p} \cdot \mathbf{x} = \sum_i p_i x_i$.
- Practice: identify the smallest set containing a given object (e.g. counts in $\mathbb{N}$; prices in $\mathbb{Q}$; order vectors in product sets).

1.2 1.2 — Logic and Mathematical Statements

- P **only if** Q ($P \Rightarrow Q$): Q necessary for P .
- P **if** Q ($Q \Rightarrow P$): Q sufficient for P .
- P **iff** Q ($P \Leftrightarrow Q$): necessary and sufficient.
- Contrapositive: $\neg Q \Rightarrow \neg P$ equivalent to $P \Rightarrow Q$.
- Running example: IKEA budget set $\mathcal{B} = \{\mathbf{x} \in \mathbb{N}^3 : \mathbf{p} \cdot \mathbf{x} \leq B\}$; practice with $\in$, $\subset$, $\forall$, $\exists$, $\Rightarrow$, and contrapositive.

1.3 1.3 — Sets and Set Operations

- Notation: $\in$, $\notin$, $\subset$, $=$, $\emptyset$, roster and set-builder forms.
- Union, intersection, complement, difference; Cartesian product $A \times B$.
- Economic sets: budget sets, consumption sets; product spaces such as $\mathbb{Q} \times \mathbb{N}$ versus constraint sets like $\mathcal{B}$.
- Practice: describe $\mathcal{B} \cap \mathcal{H}$, $\mathcal{B} \cup \mathcal{H}$, $\mathcal{B} \setminus \mathcal{H}$; distinguish elements from subsets.

1.4 1.4 — Functions

- Function $f: A \rightarrow B$: domain, codomain, range $f(A) \subseteq B$.
- Injective (one-to-one) and surjective (onto); codomain versus range.
- Operations: $(f \pm g)$, (cf) , (fg) , composition $(f \circ g)(x) = f(g(x))$.
- A rule must assign **exactly one** output per input (not a correspondence).
- Practice: domain, codomain, range, injectivity, and surjectivity (e.g. partner age as a function of your age).

1.5 1.5 — Supremum and Infimum

- Example first: reservation price / willingness to pay when the purchase set $P = \{p \in \mathbb{R}_+ : p < \bar{p}\}$ has no maximum but $\sup P = \bar{p}$.
- $\max S$ / $\min S$ versus $\sup S$ / $\inf S$ (least upper bound, greatest lower bound).
- When extrema are attained versus only approached (e.g. $S = [0, 1)$, $\sup S = 1 \notin S$).
- If $\max S$ exists, $\max S = \sup S$; always $\inf S \leq x \leq \sup S$ for $x \in S$.

1.6 1.6 — Algebra Revision

- Taylor expansion around a : $f(a+h) = \sum_{k=0}^{\infty} \frac{f^{(k)}(a)}{k!} h^k$ (first-order: $f(a+h) \approx f(a) + f'(a)h$).
- Log and exponential rules; series $\ln(1+x)$ and e^x .
- **Why logs:** $\Delta \ln x \approx \Delta x/x$ tracks percentage changes; elasticity $\varepsilon_{y,x} = \partial \ln y / \partial \ln x$; log-log regression.
- Cobb–Douglas: $U = x_1^\alpha x_2^{1-\alpha}$, $Y = AK^\alpha L^{1-\alpha}$; linear in logs; constant elasticities and expenditure shares.
- Local log approximation of any smooth $u > 0$ near $\bar{\mathbf{x}}$; Cobb–Douglas as a modeling choice when used globally.
- Homogeneity of degree k : $f(t\mathbf{x}) = t^k f(\mathbf{x})$; Cobb–Douglas utility and production are degree 1 (CRS: double inputs $\Rightarrow$ double output).

1.7 1.7 — Single-Variable Derivatives

- Formal definition: $f'(a) = \lim_{h \rightarrow 0} \frac{f(a+h) - f(a)}{h}$; meaning as slope and marginal rate (MC , MU , MP_K).
- Rules: constants, sums, power, product, quotient, chain rule; $(e^x)' = e^x$, $(\ln x)' = 1/x$, $(a^x)' = a^x \ln a$; inverse-function rule (stated).
- Practice: cubic cost, monopolist profit, Cobb–Douglas $Y(K)$, composite cost (chain rule).
- **Euler’s theorem** (for C^1 homogeneous f of degree k): $\sum_i x_i f_{x_i} = k f(\mathbf{x})$ (proof via $t \mapsto f(t\mathbf{x})$).
- Adding-up problem: under CRS and competitive factor markets, $PQ = rK + wL$; IRS ($k > 1$) and DRS ($k < 1$) and payment exhaustion.

1.8 1.8 — Multivariate Calculus

- Level curves $\mathcal{L}_c = \{(x, y) : f(x, y) = c\}$ and contour maps; 3D slice picture for $z = f(x, y)$.
- Roadmap: partials $\Rightarrow$ total differential $\Rightarrow$ directional derivative $\Rightarrow$ cross-partial (Schwarz).
- Partial derivatives (limit definition; fix one variable); $MP_K = \partial Y / \partial K$ with L fixed.
- Total differential: add/subtract trick, MVT on each bracket, $dz = f_x dx + f_y dy$; Cobb–Douglas output example $dY = MP_K dK + MP_L dL$.
- Gradient ∇f : perpendicular to level curves; points uphill; $D_{\mathbf{u}} f = \nabla f \cdot \mathbf{u} = \|\nabla f\| \cos \theta$.
- Directional derivative along unit direction $\mathbf{u}$; example: subsidy requiring input changes in ratio 2:1.
- Cross-partial and Schwarz’s theorem (stated); Y_{KL} and complements versus substitutes.

1.9 1.9 — Limits

- Motivation: Berkeley’s critique of “infinitely small” h in early calculus.
- Sequence limit (ε – N): quantifier order and convergence.
- Function limit (ε – δ): $0 < |x - a| < \delta \Rightarrow |f(x) - L| < \varepsilon$; example $f(x) = x + 1$ for $x \neq 1$, $f(1) = 3$, $\lim_{x \rightarrow 1} f(x) = 2 \neq f(1)$.

- Continuity at a : $\lim_{x \rightarrow a} f(x) = f(a)$; differentiability at a : derivative limit exists.
- Differentiable $\Rightarrow$ continuous; converse fails ($|x|$ at 0; Weierstrass function).
- Practice: ε - δ proofs for $f'(a) = 2a$ when $f(x) = x^2$ and for $\lim_{x \rightarrow 1} f(x) = 2$.

1.10 Appendix (Slides)

- Derivations of single-variable rules: constants, sums, powers, product, quotient.
- Key limits for $(e^x)'$ and $(\ln x)'$; exponential and logarithm derivative proofs.

2 Day 2 — More Calculus and Real Analysis Bridge

Approximate duration: 3 hours. See Day 2 slides (Sections 2.1–2.6).

2.1 2.1 — Implicit Function Theorem

- Explicit versus implicit relationships; when $F(x, y) = 0$ cannot be solved in closed form.
- Comparative statics: $F(x, \theta) = 0$ defines $y^*(\theta)$; goal is $dy^*d\theta$.
- **Core recipe:** totally differentiate $F(x, y) = 0$ to get $dydx = -F_x F_y$ when $F_y \neq 0$.
- Regularity: $F_y \neq 0$ means finite slope locally; vertical tangent when $F_y = 0$.
- **Practice (Together):** nonlinear demand $D(p, \alpha) = \alpha e^{-p}$, supply $S(p) = p$; no closed form for $p^*(\alpha)$, but IFT still gives $dp^*d\alpha$.
- **Applications:** market clearing $E(p, \alpha) = D(p, \alpha) - S(p) = 0$; linear example checks IFT against explicit $p^*(\alpha) = \alpha - cb + d$.
- Direct versus indirect effects; chain-rule derivation of $dp^*d\alpha = -E_\alpha E_p$.
- **Tax incidence:** per-unit tax on sellers; $dp^*dt = db + d$; tax borne more heavily by the **less elastic** side.
- **Appendix (for interest):** several-variable / Jacobian form of IFT.

2.2 2.2 — EVT, MVT, and Existence

- **Open versus closed sets** (budget, strict budget, reservation price examples).
- EVT on closed interval $[a, b]$: continuous f attains max and min.
- When EVT fails: not closed, not bounded, or not continuous (failure figure).
- **Compact** in $\mathbb{R}^n$ (camp level): closed and bounded (Heine–Borel, stated).
- **Weierstrass EVT:** continuous f on compact K attains max and min.
- **Bridge:** compact feasible set + continuous objective $\Rightarrow$ optimum exists.
- Rolle's theorem; MVT; labor/output economics example.
- **Appendix (for interest):** Weierstrass EVT proof idea.

2.3 2.3 — Integration

- Riemann integral as signed area / accumulation; definite versus indefinite integrals.
- **For interest:** Lebesgue integral (measures level sets; handles sparse jumps).
- Fundamental Theorem of Calculus: $F'(x) = f(x) \Rightarrow \int_a^b f(x) dx = F(b) - F(a)$.
- Integration by parts: $\int u dv = uv - \int v du$ (product-rule proof); example $\int x e^x dx$.
- **Probability link:** PMF and CMF (discrete dice); PDF and CDF (continuous $\text{Unif}(0, 1)$); FTC link $F'(x) = f(x)$.
- Expectation for non-negative continuous X : $\mathbb{E}[X] = \int_0^\infty x f(x) dx = \int_0^\infty (1 - F(x)) dx$.
- **Appendix (for interest):** expectation-from-CDF proof (integration by parts).

2.4 2.4 — Leibniz Rule and Fubini

- **Fixed limits:** if $F(\theta) = \int_a^b f(x, \theta) dx$, then under regularity $dF d\theta = \int_a^b \partial f / \partial \theta(x, \theta) dx$.
- Regularity (camp level): $\partial f / \partial \theta$ exists and $f, \partial f / \partial \theta$ are continuous on $[a, b] \times I$.
- **Variable limits:** when $a(\theta), b(\theta)$ move, $F'(\theta)$ adds endpoint terms plus the integral of $\partial f / \partial \theta$.
- When fixed-limit Leibniz fails: moving discontinuity (step function) example.
- **Fubini:** if $\int_D |f(x, y)| dx dy < \infty$, then $\int_D f = \int \int f$ (order of integration can be swapped).
- Camp shortcut: bounded continuous f on a nice region; Tonelli (for interest) when $f \geq 0$.
- Example: $\int_D (x + y) dx dy$ on triangle $D = \{0 \leq x \leq 1, 0 \leq y \leq x\}$.

2.5 2.5 — Taylor Expansion and Linearization

- One-variable Taylor through order n ; multivariable C^2 form with ∇f and Hessian H_f .
- First-order truncation: $f(\mathbf{a} + \mathbf{h}) \approx f(\mathbf{a}) + \nabla f(\mathbf{a}) \cdot \mathbf{h}$.
- Second-order truncation: adds $\frac{1}{2} \mathbf{h}^\top H_f(\mathbf{a}) \mathbf{h}$.
- Two-variable explicit formula from matrix multiplication (optional if Hessian is familiar).
- When linearization works: small shifts, modest curvature, differentiability; fails with large shifts, kinks, strong nonlinearity.
- **Practice (Together):** first-order two-variable Taylor for $f(x, y) = x^2 + y$ at $(1, 1)$.
- **Take home:** second-order two-variable Taylor (e.g. $f(x, y) = \sin x + \cos y$ at $(0, 0)$).
- **Appendix (for interest):** one-variable Taylor proof; Itô's lemma and Brownian motion.

2.6 2.6 — Uniform Convergence

- Pointwise convergence: $f_n(x) \rightarrow f(x)$ for each fixed x .
- Uniform convergence: one N works for all x in the domain.

- Example: $f_n(x) = x^n$ on $[0, 1]$ converges pointwise but not uniformly.
- **Why it matters:** uniform convergence justifies swapping limits with continuity, integration, and (with extra conditions) differentiation.
- Link to section 2.4: Leibniz/Fubini need regularity so limits and integrals can be interchanged safely.

2.7 Appendix (Day 2 Slides)

- IFT — several variables (Jacobian form).
- Weierstrass EVT — proof idea.
- Expectation from the CDF (integration by parts).
- Leibniz rule failure (moving step).
- Taylor expansion proof (one variable); Itô's lemma and Brownian motion (for interest).

3 Day 3 — Linear Algebra and Real Analysis

*Approximate duration: 3 hours. Linear algebra is **must cover**; real-analysis topics below are prioritized.*

3.1 Linear Algebra — must cover (Block 1)

- **Vectors in $\mathbb{R}^n$:** notation $\mathbf{x} = (x_1, \dots, x_n)$; dot product $\mathbf{a} \cdot \mathbf{b} = \sum_i a_i b_i$ (expenditure $\mathbf{p} \cdot \mathbf{x}$, projections).
- **Matrices:** dimensions $m \times n$, entries, matrix–vector product $A\mathbf{x}$; matrix multiplication (order matters).
- **Transpose $A^\top$.**
- **Linear systems:** $A\mathbf{x} = \mathbf{b}$; solution as intersection of hyperplanes (economic: market clearing, input–output balance).
- **Determinant** (must know 2×2 formula): $\det A \neq 0 \Leftrightarrow A$ invertible (square case).
- **Inverse A^{-1} :** $AA^{-1} = I$; solve $\mathbf{x} = A^{-1}\mathbf{b}$ when it exists.
- **Linear independence** (intuitive): no vector in a set is a linear combination of the others; dependence when one column is redundant.
- **Rank** (conceptual): number of linearly independent rows/columns; full rank $\Leftrightarrow$ invertible for square A .

3.2 Convergence — if time allows (Day 3)

- Deeper practice with uniform convergence (Day 2.6 is the core statement).
- Additional counterexamples and exchange-of-limit applications.

3.3 Real Analysis — if time allows (Day 3)

- **Separation theorem** (picture-based): disjoint convex sets separated by a hyperplane; supporting hyperplanes; welfare economics and Pareto efficiency (high level).

- **Fixed point theorems** (statement): equilibrium as a fixed point; Brouwer or contraction mapping; existence of equilibrium (no proof).
- **Continuity recap:** ε - δ at a point versus on a set; continuity of demand, supply, profit functions; when discontinuities break optimization.
- **Product spaces** $\mathbb{R}^n$: choice sets as subsets of product domains (brief, if not done Day 1).
- **Metric spaces / neighborhoods** (for interest only): distance, open balls; optional rigor beyond open/closed sets from Day 2.

4 Day 4 — Optimization

*Approximate duration: 3 hours. Convex **sets** (feasible regions) are covered on Day 3 — callback only. Focus: FOC/SOC, concave/quasiconcave **functions**, Lagrange, envelope, geometric Farkas $\Rightarrow$ KKT.*

4.1 4.1 — Unconstrained Optimization (1D, then multivariable)

- **Single variable:** local versus global optima; interior FOC $f'(x^*) = 0$.
- **SOC via concavity:** concave $\Rightarrow$ first-order Taylor above f ; at $f'(x^*) = 0$, local max. Convex dual for min. Figure: tangent above/below graph.
- $f'' \leq 0 \Leftrightarrow$ **concave** (C^2): Taylor proof for $\Rightarrow$; symmetric second-difference limit for $\Leftarrow$.
- Remark: $f(x) = -x^4$ strictly concave but $f''(0) = 0$; $f'' < 0$ sufficient, not necessary, for strict concavity.
- **Multivariable:** $\nabla f(\mathbf{x}^*) = \mathbf{0}$; SOC stated via concavity / H_f ND; proof in appendix.
- **Together:** monopoly $\pi(q) = pq - q^2$. **Take home:** two-input convex cost $C = q_1^2 + q_2^2$.

4.2 4.2 — Concavity, Quasiconcavity, and Global Optima

- **Convex/concave functions** (not convex sets — see Day 3): secant below graph (concave) / above graph (convex); upper and lower contour sets.
- **Quasiconcave** (maximization): along $\mathbf{z} = \lambda\mathbf{x} + (1 - \lambda)\mathbf{y}$, $f(\mathbf{z}) \geq \min\{f(\mathbf{x}), f(\mathbf{y})\}$; equivalently upper contour sets are convex.
- **Prove equivalence** quasiconcavity $\Leftrightarrow$ convex upper contour sets (two-direction proof).
- Concave $\Rightarrow$ quasiconcave; Cobb–Douglas utility is quasiconcave (stated).
- **Global sufficiency:** quasiconcave f on convex feasible set $\mathcal{B}$ (Day 3 callback) $\Rightarrow$ interior FOC/Lagrange solution is a global maximum.
- **Together:** Cobb–Douglas quasiconcavity. **Take home:** $u = x_1x_2$.

4.3 4.3 — Equality Constraints and Lagrange Multipliers

- Problem: $\max f(x, y)$ subject to $h(x, y) = 0$; constraint defines a **curve** in the plane.
- **3D picture:** surface $z = f(x, y)$; constraint $h(x, y) = 0$ is a curve on the domain; optimum on the curve.
- **Tangent argument:** any local direction $\mathbf{d}$ along the curve satisfies $\nabla h \cdot \mathbf{d} = 0$; if $\nabla f \cdot \mathbf{d} \neq 0$, then f increases along the curve locally $\Rightarrow$ not optimal. Hence $\nabla f \parallel \nabla h$.

- Lagrangian (equality): $\mathcal{L} = f + \mu h$; FOC $\nabla f + \mu \nabla h = 0$, $h = 0$.
- μ **unrestricted** (either sign): equality allows both tangent directions.
- Shadow price interpretation; Cobb–Douglas budget (callback Day 1).
- **Together:** budget max with $\mathcal{L} = u + \mu(w - p \cdot \mathbf{x})$. **Take home:** cost min with production equality.

4.4 4.4 — Envelope Theorem

- **Placement:** after Lagrange setup, before inequalities/KKT.
- Value function $V(\theta) = \max_{\mathbf{x}} f(\mathbf{x}; \theta)$ (subject to constraints).
- **Unconstrained:** $dV d\theta = \partial f \partial \theta \Big|_{\mathbf{x}^*(\theta)}$ — no need to differentiate $\mathbf{x}^*(\theta)$.
- **Constrained:** $dV d\theta = \partial \mathcal{L} \partial \theta \Big|_{(\mathbf{x}^*, \mu^*, \lambda^*)}$.
- Economic examples: profit vs. price shifter; indirect utility vs. income (one each).
- Contrast with chain rule through $\mathbf{x}^*(\theta)$: envelope drops terms that vanish at the optimum.
- **Together:** $\pi^*(p)$ envelope gives $d\pi^*/dp = q^*$. **Take home:** $V(p, w)$, $\partial V / \partial w = \lambda$.

4.5 4.5 — Inequalities, Geometric Farkas, and KKT

- Inequalities $g_j(\mathbf{x}) \leq 0$; binding versus slack; complementary slackness $\lambda_j g_j(\mathbf{x}^*) = 0$.
- **Feasible directions** at a boundary point form a **convex cone**: $\nabla g_j \cdot \mathbf{d} \leq 0$ for active constraints.
- No improving feasible direction: for a max, no $\mathbf{d}$ with $\nabla f \cdot \mathbf{d} > 0$ and $\nabla g_j \cdot \mathbf{d} \leq 0$.
- **Geometric Farkas (picture):** in the (x_1, x_2) plane, active ∇g_j span cone K ; at optimum $-\nabla f \in K$. Figure: `farkas_cone_2d.png` (Day 4 slides).
- **KKT** (stated): stationarity, primal/dual feasibility, complementary slackness.
- **Sign mnemonic** — Convention A only on slides: $\mathcal{L} = f + \sum_j \lambda_j g_j + \sum_k \mu_k h_k$ (all plus); see table below.
- Nonnegativity $x_i \geq 0$ and corner solutions (conceptual).
- **Sufficiency (brief):** quasiconcave f + convex $\mathcal{B} \Rightarrow$ KKT point is global; constraint qualification (e.g. LICQ) for necessity (name only).
- **Together:** budget + inequality KKT; min cost with $\geq$ constraint. **Take home:** corner $x_1 = 0$.
- **Appendix (for interest):** algebraic Farkas proof; link to `duality_notes`.

4.6 KKT sign mnemonic (reference)

Convention A (fixed form). Use $\mathcal{L} = f + \sum_j \lambda_j g_j$ with the constraint written exactly as in the problem ($g \leq 0$ or $g \geq 0$):

Problem	Constraint	λ
$\max f$	$g \leq 0$	$\lambda \geq 0$
$\max f$	$g \geq 0$	$\lambda \leq 0$
$\min f$	$g \leq 0$	$\lambda \geq 0$
$\min f$	$g \geq 0$	$\lambda \leq 0$
Equality $h = 0$: $\mathcal{L} = f + \mu h$; μ unrestricted .		

Short rule (Convention A): $\leq$ on the constraint $\Rightarrow \lambda \geq 0$; $\geq$ on the constraint $\Rightarrow \lambda \leq 0$.

Memory tricks (sign of objective $\times$ sign of constraint inequality):

- $\max f$ (+) with $g \leq 0$ (-): “opposite” $\Rightarrow \lambda \geq 0$.
- $\min f$ (-) with $g \leq 0$ (-): “ $- \times -$ ” $\Rightarrow \lambda \geq 0$.
- $\max f$ (+) with $g \geq 0$ (+): “same” $\Rightarrow \lambda \leq 0$.
- $\min f$ (-) with $g \geq 0$ (+): “opposite” $\Rightarrow \lambda \leq 0$.

Convention B (footnote only — not used on Day 4 slides). An alternative is to flip the constraint into $\mathcal{L}$ so $\lambda_j \geq 0$ always; see fall-course notes if needed.

4.7 Appendix (Day 4 Slides)

- Multivariate SOC proof (Hessian ND).
- Algebraic Farkas lemma and KKT derivation.
- Bordered Hessian / SOC for constrained problems (for interest only).
- Take-home solutions (§4.1–4.5).

5 Day 5 — Dynamic Programming

Approximate duration: 3 hours.

5.1 Motivation and Framework

- Sequential decision-making over time.
- Intertemporal trade-offs.
- Finite versus infinite horizon (finite focus for bootcamp).
- Markov structure: current state summarizes relevant history.

5.2 State Variables versus Control Variables

- State: variables that evolve according to law of motion.
- Control: variables chosen each period.
- Transition equation or law of motion.
- Feasibility constraints in dynamic problems.
- Classic problem types: consumption–savings, capital accumulation, resource extraction.

5.3 Bellman Equation

- Value function: maximum attainable payoff from a given state.
- Principle of optimality (Bellman's idea).
- Recursive formulation of dynamic problems.
- Bellman equation for finite-horizon problems.
- Terminal condition and backward solution logic.

5.4 Backward Induction

- Solving finite-horizon problems from the last period backward.
- Relationship between period-by-period optimization and Bellman recursion.
- Policy function: mapping from state to optimal control.

5.5 Value Function Iteration (Conceptual)

- Idea of iterating on the Bellman operator.
- Convergence to fixed point of Bellman equation (intuition only, no algorithm).
- Distinction between solving finite-horizon and infinite-horizon problems.

5.6 Two-Period Models as Building Blocks

- Structure of two-period consumption-savings problems.
- Euler equation (conceptual introduction if appropriate).
- Link between dynamic programming and standard intertemporal optimization.

6 Cross-Cutting Themes (All Days)

- Mathematical notation used in economics graduate courses.
- Reading and interpreting first-order conditions, second-order conditions, and comparative statics.
- Connecting mathematical objects to economic meaning (marginal, shadow price, value function).
- Confidence with standard problem templates used in fall courses.

7 Suggested Time Allocation

Day	Block 1 (~1 hr)	Block 2 (~1 hr)	Block 3 (~1 hr)
1	1.1–1.4: notation; logic; sets; functions	1.5–1.6: sup/inf; algebra; Cobb–Douglas	1.7–1.9: derivatives; Euler; multivariate; limits
2	2.1 IFT	2.2 EVT/MVT; 2.3 integration	2.4–2.5; 2.6 uniform conv.
3	Linear algebra (must)	Convergence practice (if time)	Separation; fixed points (if time)
4	4.1 FOC/SOC; 4.2 quasiconcavity	4.3 Lagrange; 4.4 envelope	4.5 Farkas geometry; KKT
5	Framework; state and control	Bellman equation	Backward induction; VFI idea